ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - BOND TRADING - CONSOLIDATION DAYS

DISCLAIMERS AND LESSON INTRODUCTION

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Welcome back folks. Please read these disclaimers as I am not a CTA and not licensed to give trade advice. Discussions pertaining to commodities and futures are referred to as paper trades only.

This is the June 2017 ICT Mentorship, ICT Bond Trading Lesson Three, focusing on consolidation days.

This lesson is not teaching specific setups but rather a thought process for incorporating bond analysis into the grand scheme of things, drawing it back to Forex.

ANTICIPATING CONSOLIDATION: OVERNIGHT PRICE ACTION AND NEWS VACUUM

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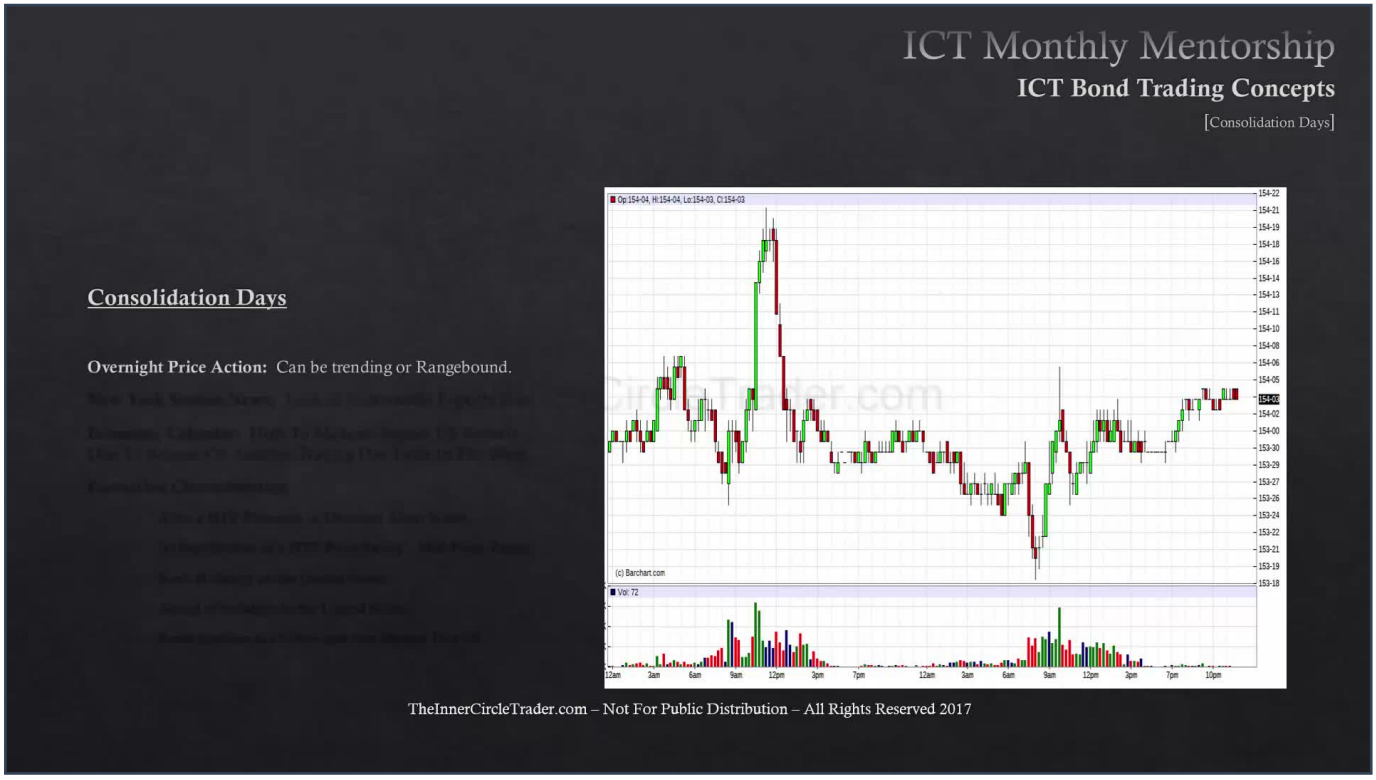
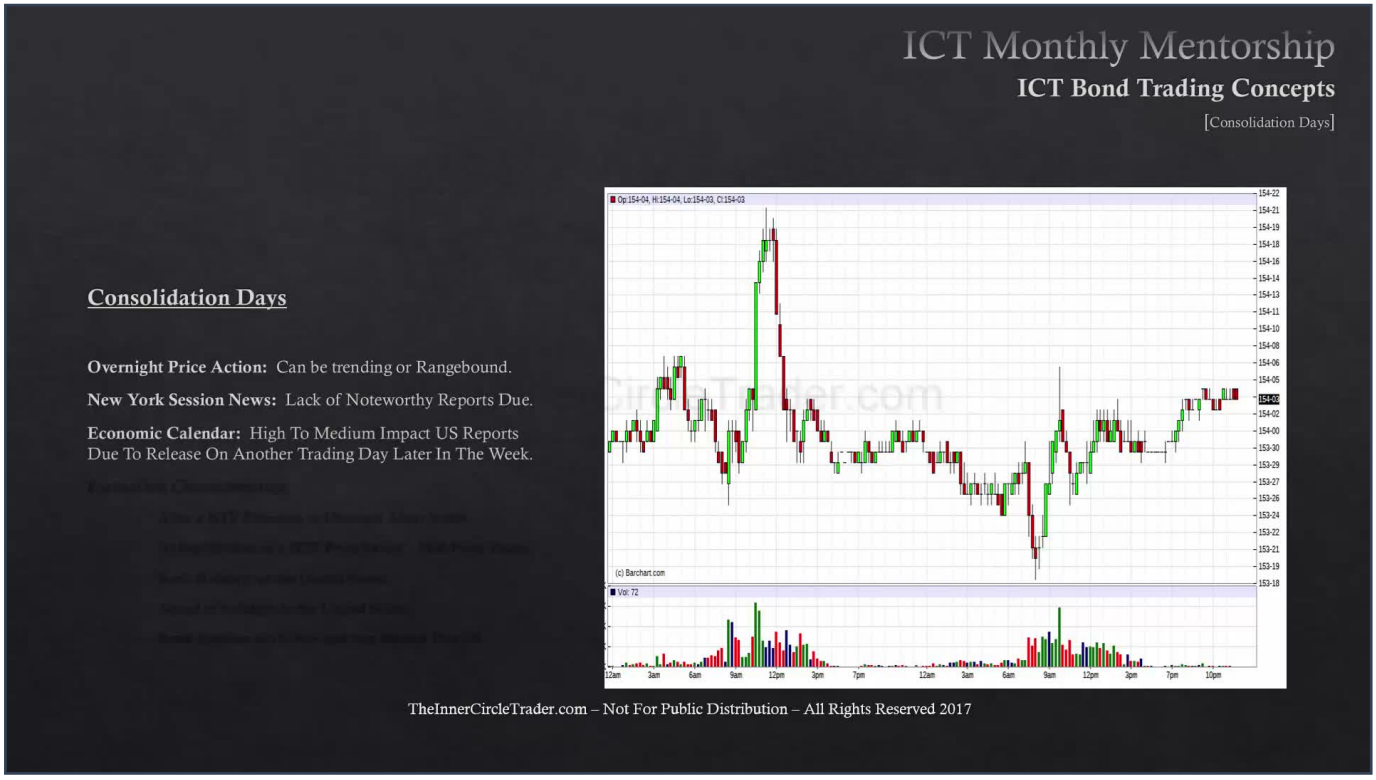


When anticipating a consolidation day, refer to overnight price action. Overnight price action can show trending environments or be range-bound; there is no specific precursor. For instance, London trading doesn't always translate to future prognostication for New York trading hours, as the market could move overnight and then go dead during the New York session.

Generally, a lack of noteworthy reports due during the New York session creates a 'vacuum,' resulting in a dead space in the bond market.

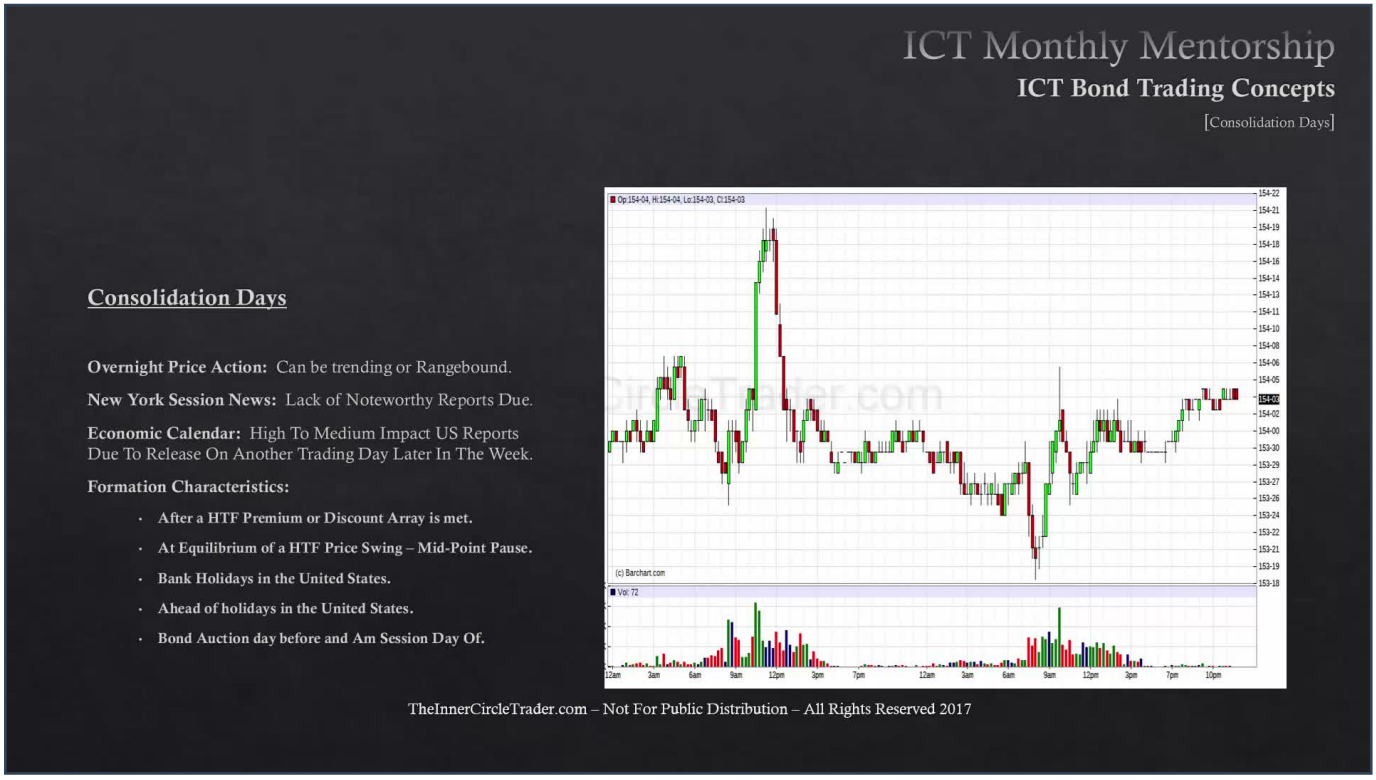


Economic calendars play a key role. If high to medium impact U.S. reports are due to release on another trading day later in the week, this promotes the idea of a consolidation day.

For example, at the time of this recording, an FOMC date was at 2 p.m. New York time. On the same morning, the New York session had a plethora of high impact, dollar-based news. This, coupled with the FOMC later in the day, created a high volatility day, which was anticipated before the trading week began.

Conversely, if there was a lack of high impact news during the New York session AM session, and FOMC was the only high impact news event, then generally, we would see a consolidation day leading up to and carrying over into the morning session. Volatility would then increase in the latter portion of the day or the PM session.

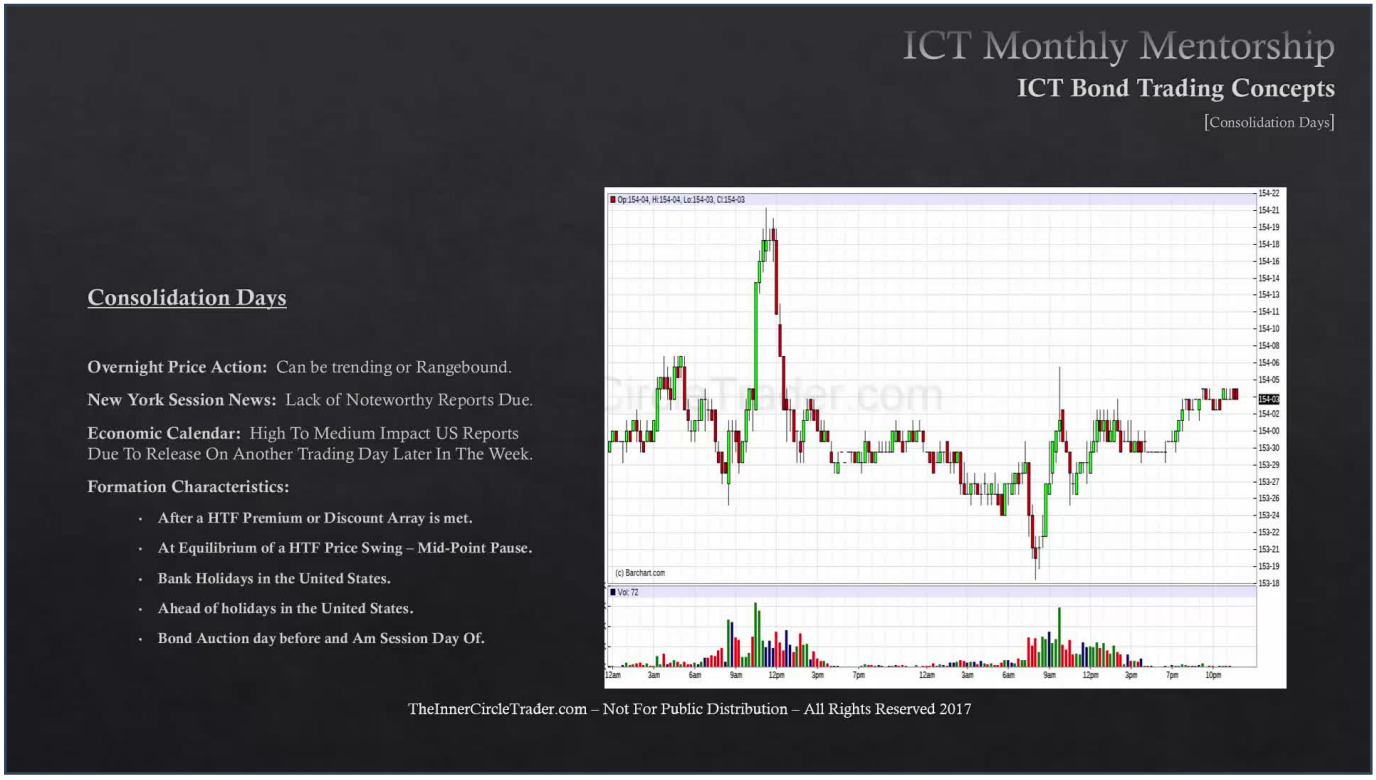
FORMATION CHARACTERISTICS: HIGHER TIME FRAME PREMIUM/DISCOUNT ARRAYS



Consolidation days often form after a higher time frame premium or discount array is met. For instance, if price has been moving higher from a discount and meets a premium array, one of two things can happen:

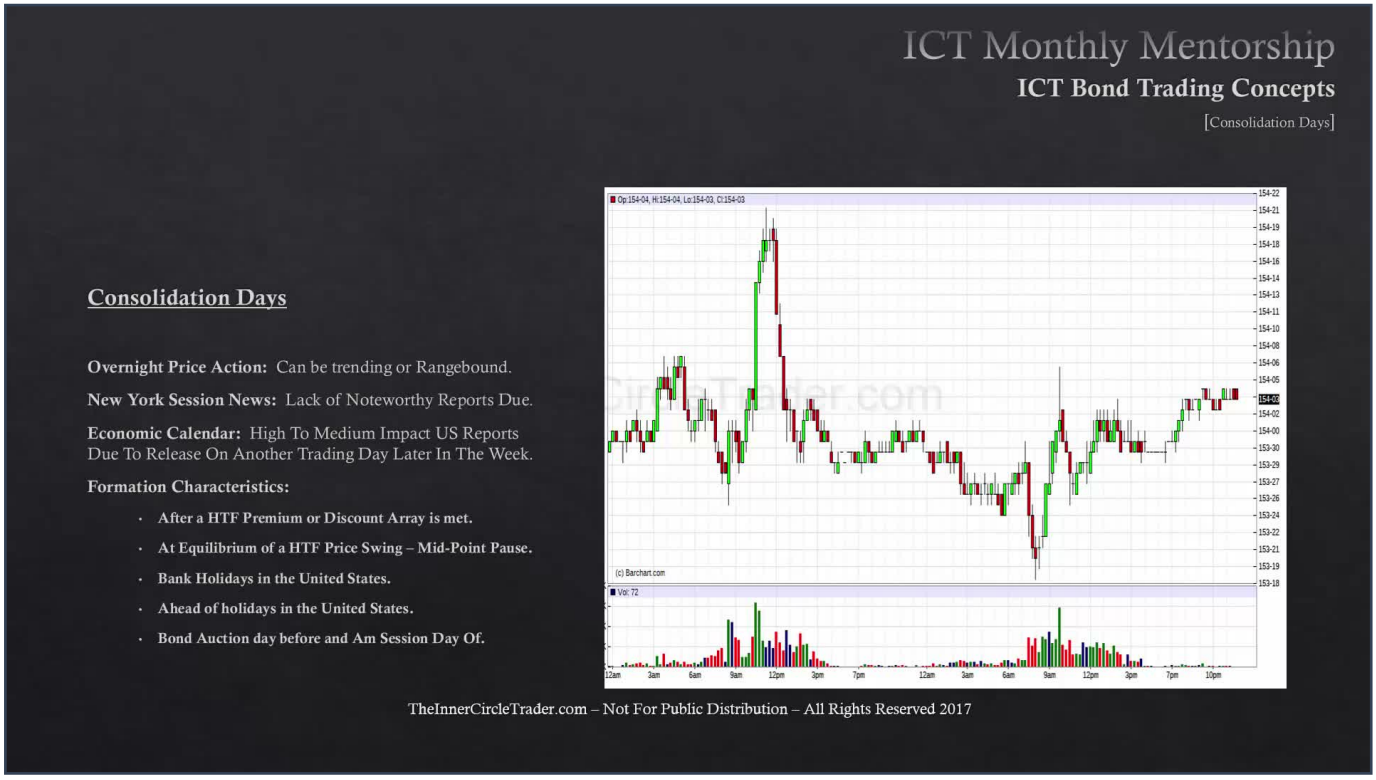
- Price can pause and consolidate there, waiting for another point to continue higher for another PD array.

- Price can retrace after that consolidation, or simply reverse.



When price hits a higher time frame PD array, especially a premium array after an advance from a discount, profit-taking generally occurs, causing a pause in the advancement of price. This pause may not require a retracement but is a period of consolidation.

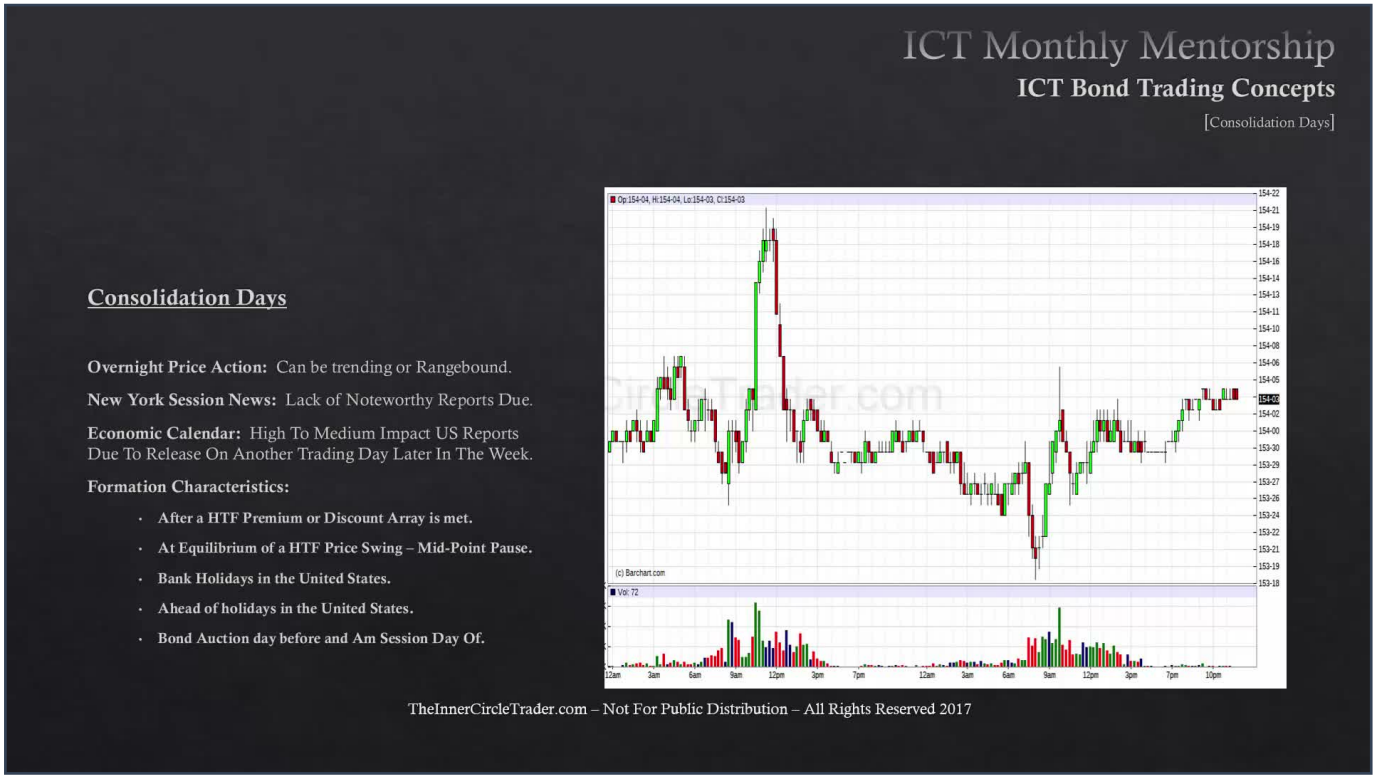
Knowing that a higher time frame premium array has been hit allows us to anticipate a point where the market will take a breather or consolidate. This understanding helps with Forex trading, commodity trading, and bond trading, enhancing objectivity and inter-market analysis.



When price hits an equilibrium of a higher time frame price swing or midpoint, we can anticipate a pause, similar to reaching a higher time frame premium or discount array. When these 'mile markers' are met, some measure of consolidation or a pause is reasonable to expect.

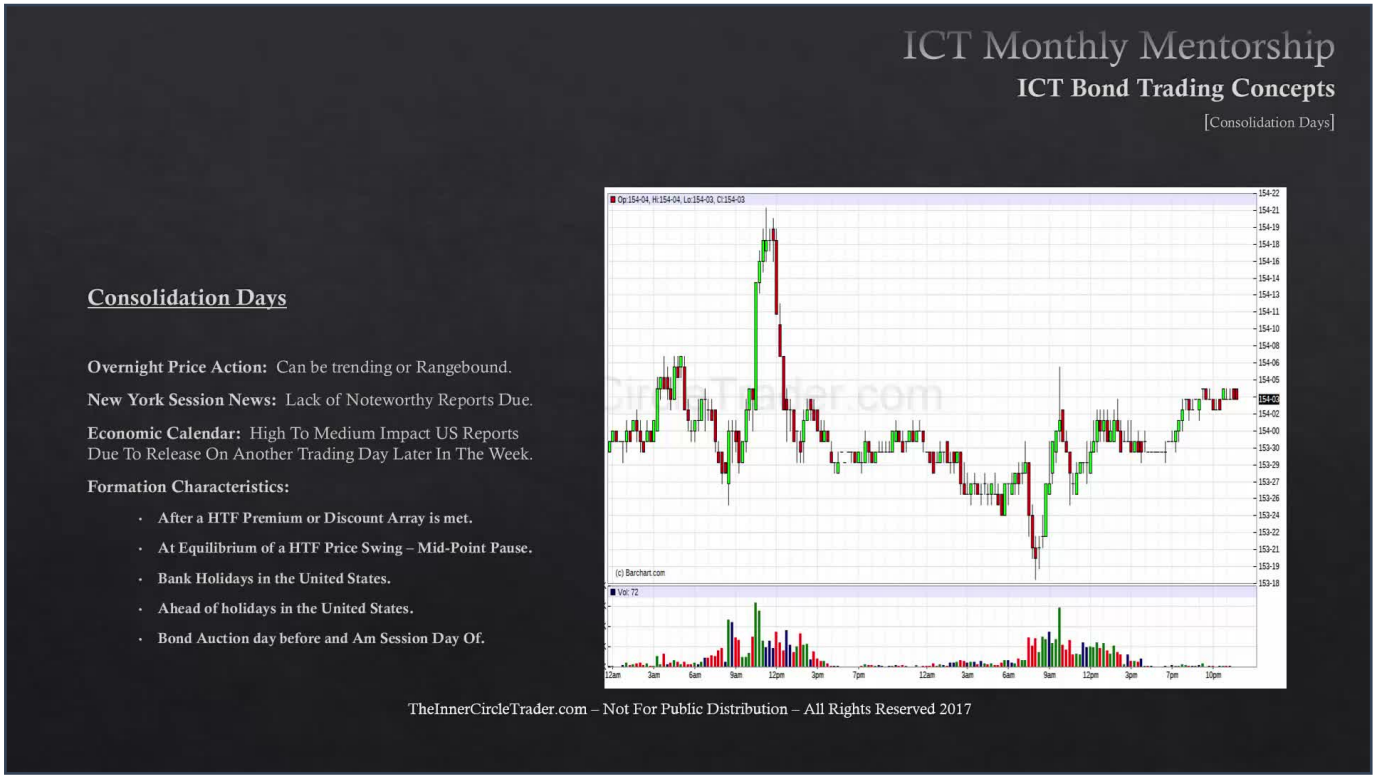
Remember, markets move from consolidation to expansion, and in the midst of this, retracements and/or reversals occur. Consolidations are, by far, the most dominant consideration in price action.

If a higher time frame premium or discount array is met, or price hits the equilibrium price point of a measured move or a longer-term price point, it can consolidate at that midpoint. Don't always anticipate an immediate response in price; it can stay around equilibrium because higher time frames require larger traders to work that level, sometimes more than once. We don't anticipate equilibrium to be explosive, nor that hitting a premium or discount array is the end of a move; it can be a pause before continuation.



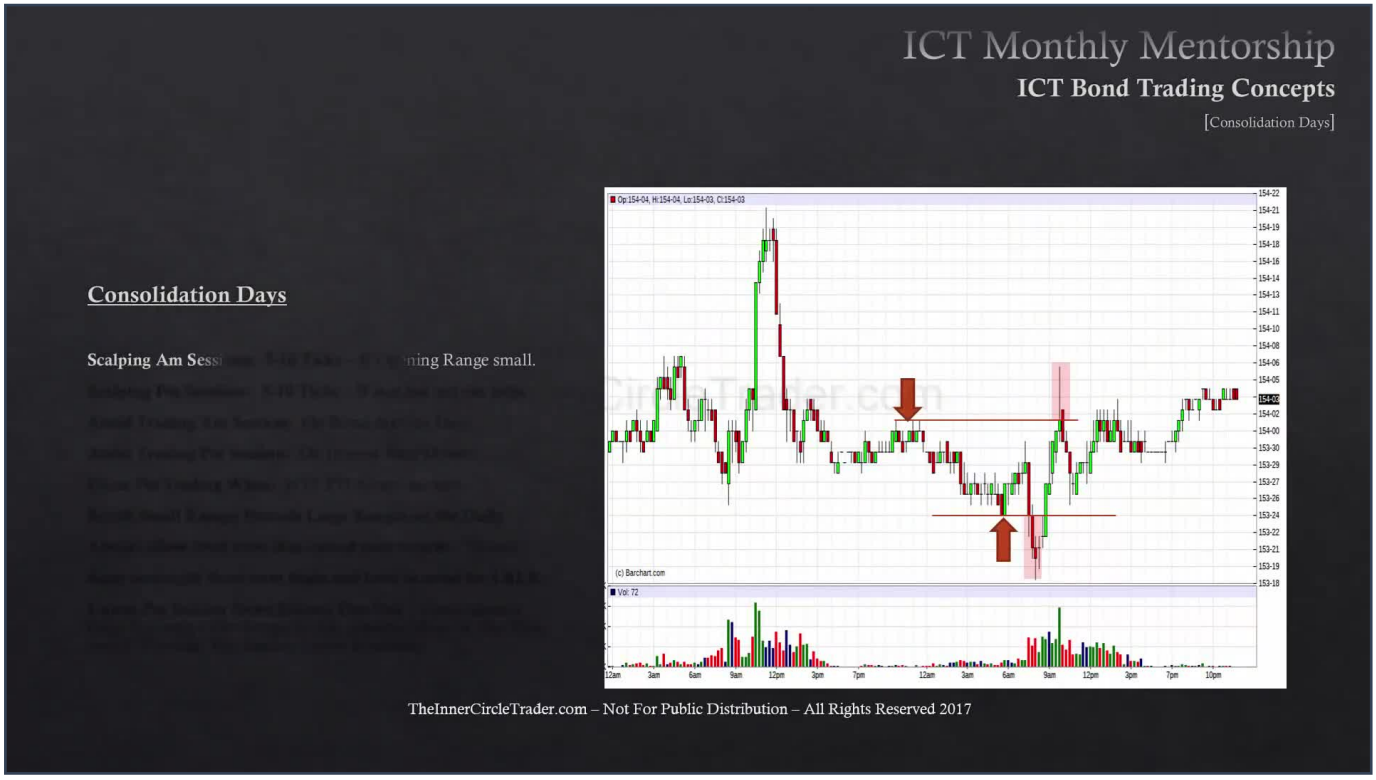
Bank holidays in the United States impact markets and cause consolidation days. For instance, trading days ahead of holidays like the Fourth of July generally feature quiet periods and consolidation, which reverberates throughout the marketplace.

Bond auction days also promote consolidation. The day before a bond auction, and the AM session of the bond auction day itself, are generally consolidation periods.



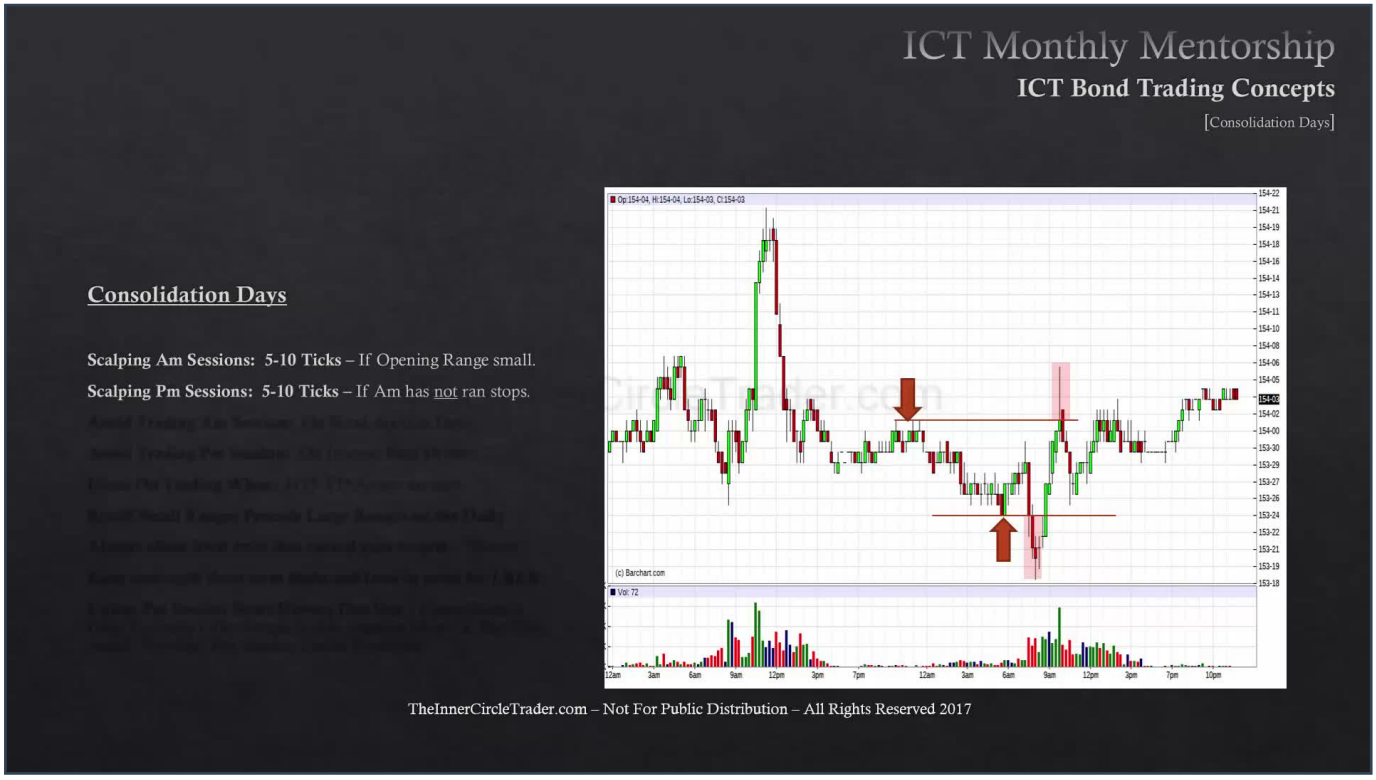
It is crucial to understand what causes or promotes consolidation in the bond market. By identifying these individual conditions or characteristics that routinely and generically repeat over time, traders can develop a game plan and incorporate these ideas into their trading.

In my early trading, overzealousness often led to frustration when expected moves didn't materialize. The bond market was the missing link. Having bond market analysis is paramount. If we anticipate a consolidation period in the bond market, we must reasonably expect the same to occur in other asset classes.



During consolidation days, when trading in the AM session, scalping for five to ten ticks is a viable strategy. Keep in mind that one tick is $31.25, so even five ticks can be profitable for day trading in the bond market a couple of times a week.

If the opening range is small (12 ticks or less), an expansion move is generally expected. This small opening range creates a 'volatility squeeze' that can eventually snap, leading to a move in a direction predetermined by institutional order flow.

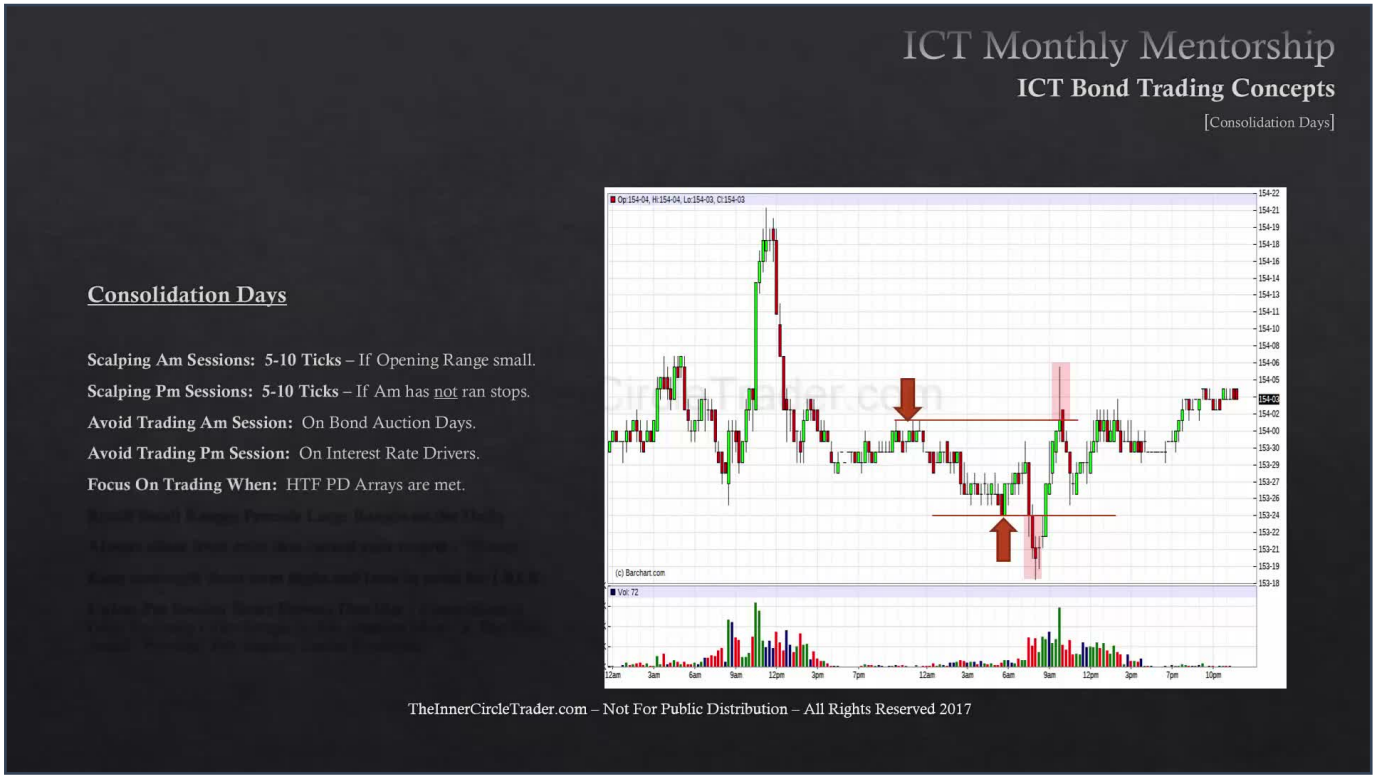


For PM session scalping on consolidation days, aiming for five to ten ticks is possible, but with a critical caveat: only trade the PM session if the AM session has not yet executed a stop run. If a liquidity pool remains untapped in the AM, it may be targeted in the PM. Once stops are taken, don't be greedy; take profits and move to the sidelines.

As a general rule of thumb, PM session scalping on consolidation days is less frequent. When anticipating small ranges or consolidation, conduct your trading in the AM session, preferably before noon, and ideally before 11:00 AM New York time. After that, move to the sidelines and do not worry about missed opportunities in the rest of the day.

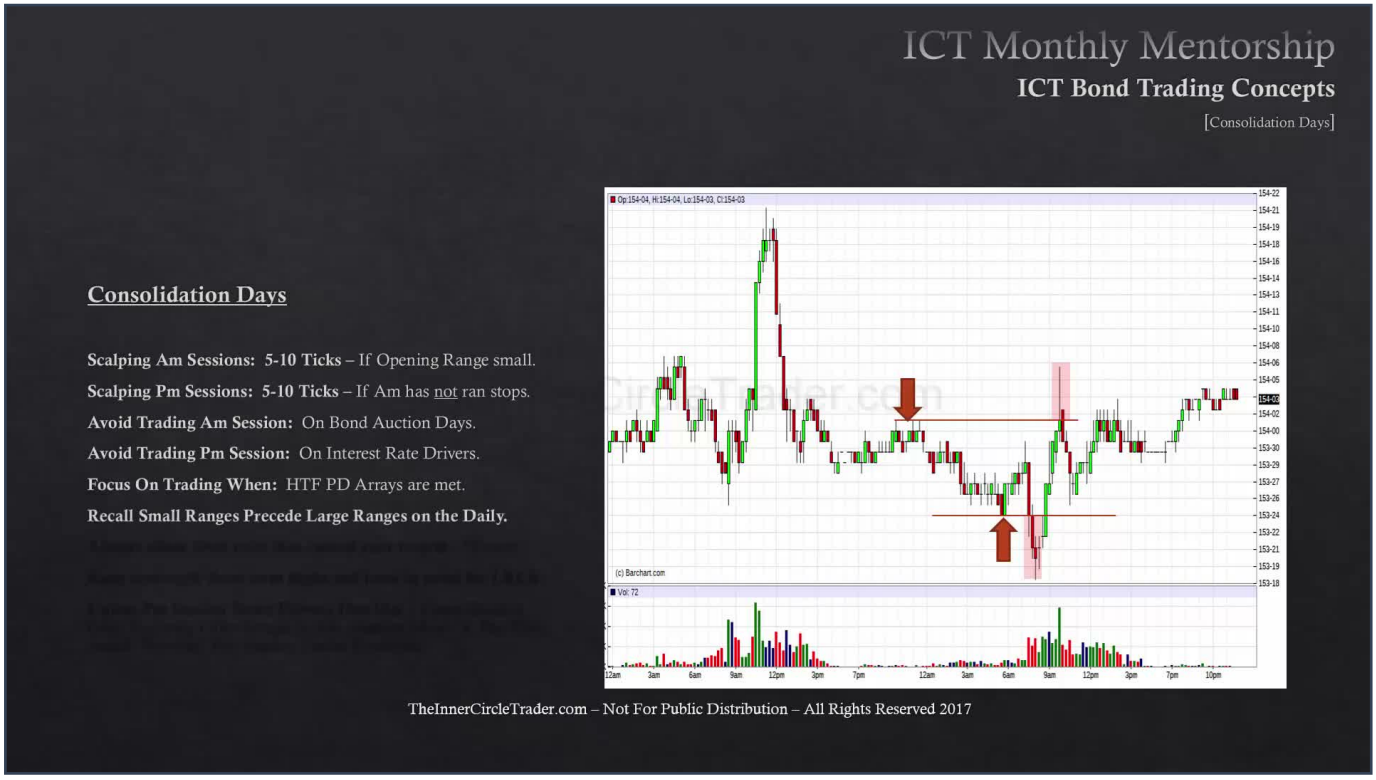
- Avoid trading the AM session on bond auction days, as the market is usually on hold awaiting the auction.

- Avoid trading the PM session when interest rate drivers are due, typically at 2:00 PM New York time, regardless of how promising the volatility appears.



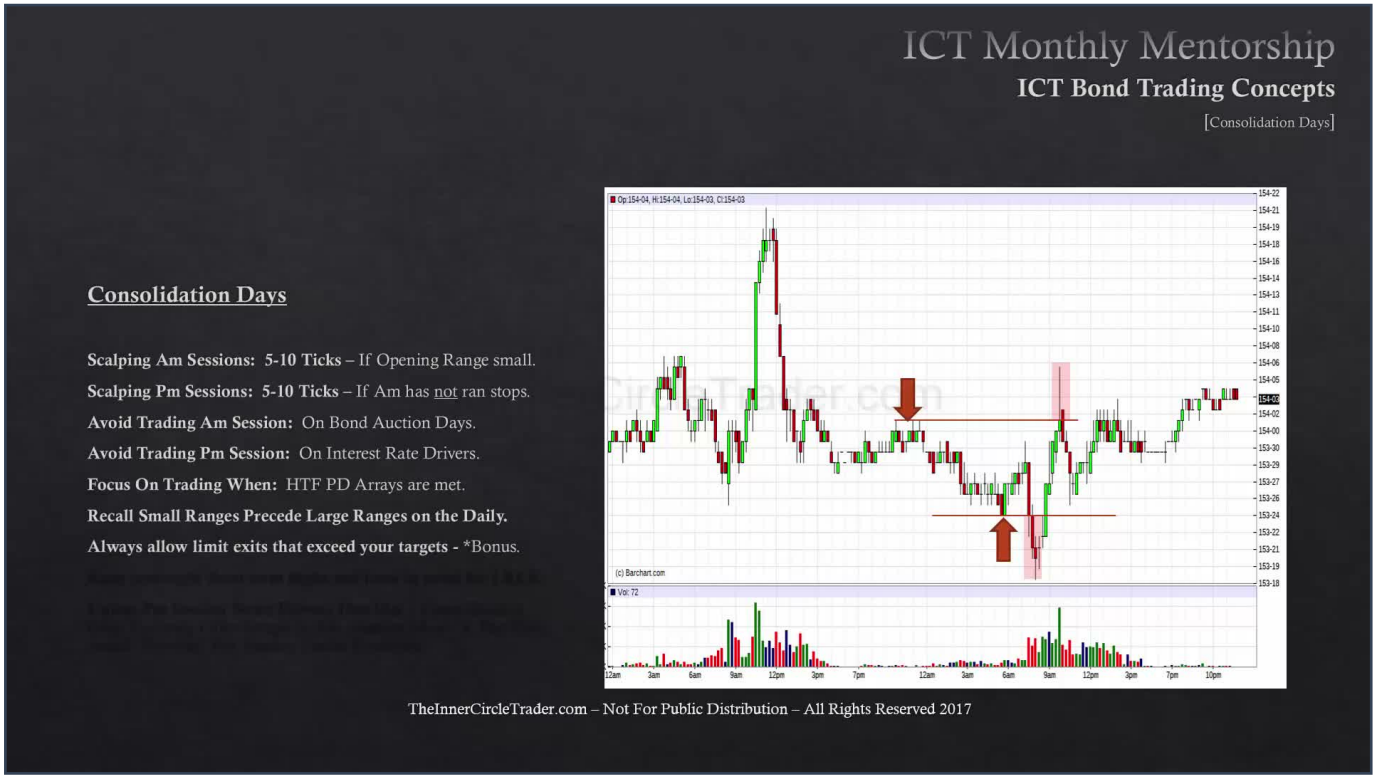
When a higher time frame premium array is met, especially in a market that has been bullish and advancing, we should anticipate a pause or consolidation. This requires a shift in mindset: instead of expecting big moves, adapt to what price action is indicating. This means either moving to the sidelines or adopting a scalper's mentality, looking for very small fluctuations in the bond market, which will translate into small movements in other asset classes.

This approach removes the insatiable desire to 'swing for the fences' and encourages a more reserved trading style appropriate for the prevailing market conditions.



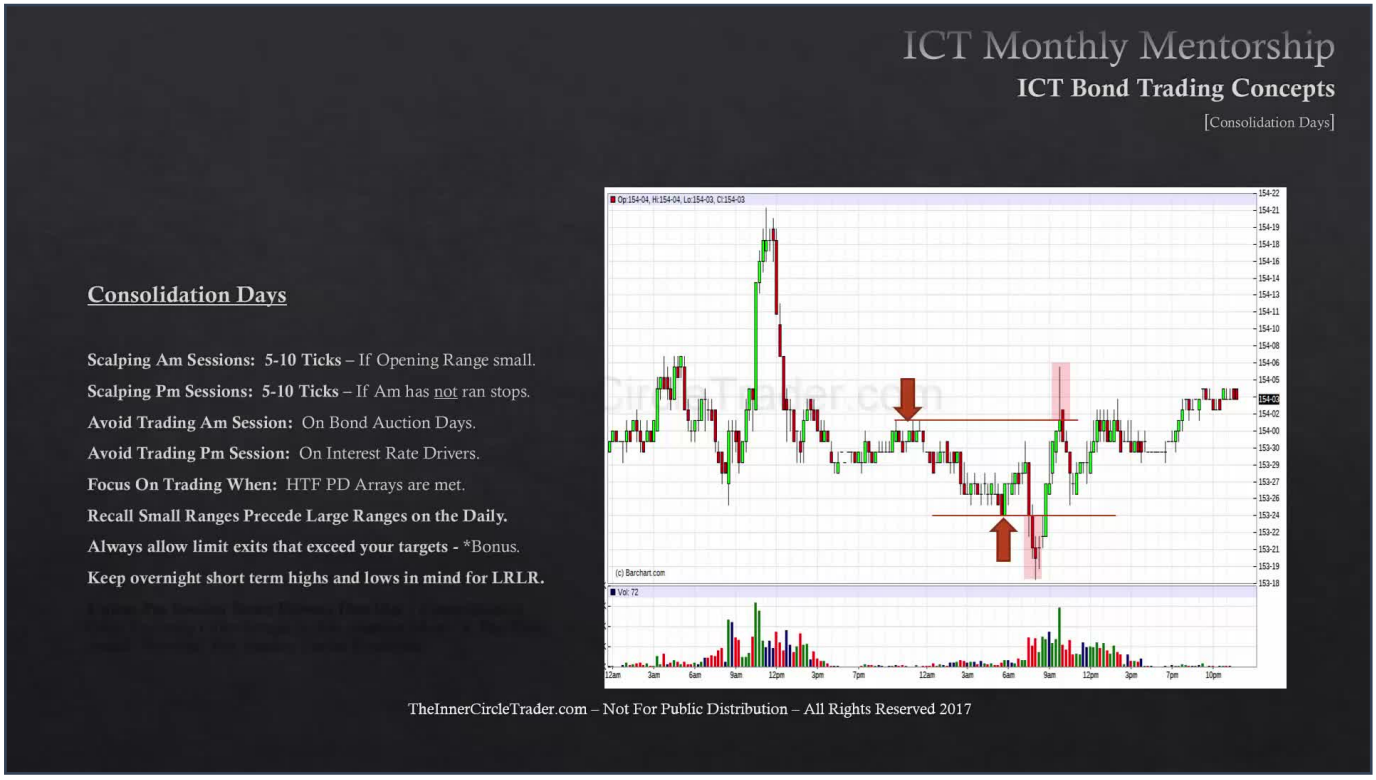
Recall that small ranges precede large ranges on a daily basis. While action-hungry traders might find consolidation days frustrating, professional-minded traders welcome them. These periods allow time to formulate a plan, study where the next movement will be, and identify the next liquidity run. Consolidation helps frame future trading opportunities.

Trading on too short a time frame during these periods, without allowing for planning, can be detrimental. Consolidation days provide a breather; traders can step back, perhaps even avoid trading that day, and instead use the time for end-of-day analysis to figure out future liquidity targets. The next significant move will likely follow a large range expansion. Consolidation days are 'big banner signs' indicating a juicy price move is coming; use them to do your homework rather than getting frustrated. These pauses are 'gold mines in the making'.



Always allow your limit exits to exceed your initial targets, as this can provide a 'bonus.' During consolidation, we don't know for certain that the market will stay within a predetermined range. If scalping with an objective of, say, eight ticks, setting a 16-tick target allows for unexpected quick expansions to pay you more, even if you were 'wrong' in anticipating a small range. This requires 100% undivided attention to the market while scalping, not being distracted.

Manage positions accordingly by watching price action near your objective. Many times, this technique has paid more than if only the first objective was taken.



Keep overnight short-term highs and lows in mind for low resistance liquidity runs. As seen on charts, London session highs and lows can be targeted for AM session moves in the bond market. Knowing these short-term swings helps identify where the market will reach for liquidity during New York session consolidation days.

Unless PM session news drivers are due, consolidation days typically offer setups in the AM session most of the time. Therefore, a general rule of thumb is to avoid forcing PM session trades routinely in tight, low-volatility consolidation environments. All trading should ideally be done before noon, preferably before 11:00 AM New York time, then move to the sidelines. Do not be upset if unexpected PM session opportunities arise; let them happen.

Consolidation brings expansion. When the market is identified as likely to trade in a small range or consolidation day, immediately note that the next trading day, or a day not long after, will likely produce a large range or trending day. This can be confirmed by the economic calendar. For example, a previously identified high-impact news day with FOMC led to high volatility, as anticipated.

When the bond market is held in a narrow range, it creates a 'Stranglehold' on volatility for other asset classes on average. Do not expect extreme movements in other markets (like Japanese Yen or Swiss Franc) just because the bond market is consolidating.

Working with a professional mindset means having faith in the probabilities of market behavior. Without rules and parameters, traders will deviate, making it impossible to measure development or consistency.

Operating within the framework of small-range consolidation days, as described, fosters a professional trading mindset. This perspective inherently removes much of the anxiety traders experience from market inactivity or not making 'enough.' It prompts a paradigm shift, allowing understanding of the market's overall behavior.

A vast majority of traders, including professionals, get caught in the emotional and psychological effects of trading, such as fear and greed. Neophytes, having no idea what's happening, frequently fall victim and end up in the 'trader's graveyard' quickly.

This mentorship aims to cultivate a professional mindset and alleviate these common problems. Focusing on rule-based ideas and understanding the characteristics of consolidation environments shifts focus away from fear and greed towards the process and parameters. The mind is a powerful tool; misdirecting its energy on toxic thoughts can create imaginary issues. Developing faith in rule-based ideas through consistent case studies demonstrates their profitability, not just monetarily, but psychologically and emotionally.

Understanding how the market should behave during consolidation periods and days in the bond market removes fear, trepidation, and uncertainty. If analysis indicates the bond market is predisposed to small ranges and low volatility, this immediately tells you not to expect much from the markets right now. This realization is sobering; it provides peace of mind and prevents the anxiety of missing the 'next big move' by giving you context.

When this framework of interpreting price action from a macro perspective works, it allows you to harness and master trade psychology, reigning in fear and greed. While other traders are emotionally driven into or out of trades, you remain cool and collected, knowing exactly what to do. You cannot make the market do what you want, but you can align yourself with what is most likely to occur based on these conditions.

The goal is not to teach consolidation trading techniques to make a 'killing,' but to maintain a professional mindset, ensure longevity in trading, and patiently wait for the inevitable expansion moves where trading becomes easier. Elation comes from mastering oneself through rule-based ideas, operating within clear parameters, and measuring progress. This positive feedback reinforces the process.

When experiencing a loss or missing an opportunity, do not worry if it falls outside the context of your rule-based ideas. Give yourself permission to miss some market moves, as many will occur outside your defined parameters. Avoid comparing your results to others or dwelling on missed trades; stay within your rule-based framework and maintain a mindset of low expectations across all asset classes during consolidation.

This observation is highly beneficial for Forex traders, enabling them to reduce or limit expectations on FX pair movements and operate in a more reserved fashion, focusing on small gains. Understanding the bond market provides relief by explaining periods of 'fickle' market behavior.

Consolidation phases inevitably lead to expansion. The longer the consolidation, the more protracted the subsequent trending environment will be. These 'salad days' (easy trading days) are future opportunities. Traders should be elated about the future opportunities that follow consolidation. Instead of 'arm wrestling' the market during quiet periods, sit back and let others wear themselves out emotionally and psychologically. Smart money uses consolidation periods to set up the next big move. This principle in the bond market reverberates through all other asset classes, especially for Forex traders. When the bond market consolidates, other markets are stifled; when it doesn't, they move more fluidly and efficiently.